SALARYEXIT INDIA

First Offer Reality Guide for Indian Graduates

What your CTC actually becomes — before you sign, negotiate, or compare offers.

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1. CTC vs. gross vs. in-hand

CTC (Cost to Company) is everything your employer spends on you: your fixed pay, the employer's share of provident fund, gratuity accrual, insurance premiums, and sometimes joining bonuses. None of this is money you receive directly.

Gross salary is CTC minus those employer-side costs. It's the figure your income tax is actually computed on.

Net / in-hand / take-home is gross minus your own deductions: income tax (TDS), employee provident fund, and professional tax. This is the number that matters for budgeting.

> **Worked example:** An ₹18,00,000 CTC offer (13% employer-cost structure, new tax regime) converts to roughly **₹1,19,509 in-hand per month** — after ~₹19,500/month in employer costs and ~₹10,991/month in PF and tax deductions. The same engine that produced this number is public at `salaryexit.in/ctc-to-in-hand-calculator` .

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2. Variable pay: what's guaranteed vs. contingent

Offer letters often quote CTC inclusive of a "variable pay" or "performance bonus" component — commonly 10-20% of CTC. This is **not guaranteed cash**. Ask specifically:

- What percentage of target variable pay has the team historically received?
- Is it paid monthly, quarterly, or annually?
- Is any portion included in your fixed monthly credit, or is it entirely contingent?

3. Employer PF: what it means for you

Employer PF is a real cost to the company (part of your CTC) but is **not cash you receive** — it goes into your retirement account. Whether your employer applies the ₹15,000/month statutory wage ceiling or contributes on your full Basic+DA changes both your monthly in-hand and your retirement corpus. Neither choice is "wrong" — it's a real trade-off worth understanding, not assuming.

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4. Gratuity

Gratuity is a lump-sum benefit paid when you leave a company after completing **5 years of continuous service** (with limited exceptions). It's often included in your CTC as an annual accrual figure, but you never see this money unless you stay long enough to vest it. Don't count it as part of your usable annual income if you don't expect to stay 5 years.

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5. Insurance

Group health/term insurance premiums are frequently bundled into CTC as a "benefit" line. Check what the policy actually covers (family members? pre-existing conditions? sum insured?) before treating it as equivalent to cash compensation.

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6. Old vs. new tax regime

India's income tax has two regimes you can choose between each year. The new regime (default) has lower slab rates but doesn't allow most deductions (HRA, 80C investments, etc.) that the old regime does. Which is better depends on your specific deductions — there's no universal answer. A useful, real finding: under the new regime, taxable income between **₹12,00,000 and ₹12,70,587** sits in a transition band where marginal relief limits income tax — income tax before cess rises at an effective **100% marginal rate** in this band (every extra rupee earned adds a rupee of income tax), and once the 4% health & education cess is added on top, the marginal rate on your *total* tax liability is **104%** — meaning a raise that lands in this exact band produces no net take-home gain. This is a real, computed effect, not a rule of thumb — see `salaryexit.in/reports/india-in-hand-salary-model-2026` for the full model.

7. Monthly in-hand: how to estimate it before your first payslip

ILLUSTRATIVE CTC	APPROX. MONTHLY IN-HAND*
₹6,00,000	₹41,492
₹8,00,000	₹55,992
₹10,00,000	₹70,492
₹12,00,000	₹84,992
₹15,00,000	₹1,04,142

*New regime, 13% employer-cost structure, statutory-ceiling PF — modeled, not guaranteed. Your actual figure depends on your specific offer's structure. Full 12-level table and downloadable CSV: `salaryexit.in/reports/india-in-hand-salary-model-2026`.

8. Offer-comparison checklist

- [ ] Compare in-hand, not just CTC — two offers at the same CTC can pay very differently.
- [ ] Ask for the Basic+DA split, not just the CTC total.
- [ ] Ask whether PF is capped or applied to full Basic+DA.
- [ ] Check the variable-pay eligibility criteria and historical payout rate.
- [ ] Check the notice period and any buyout clause.
- [ ] Confirm which tax regime the employer defaults to for TDS, and whether you can change it.
- [ ] Use a calculator with your specific numbers — not a rule of thumb from a friend's offer.

9. Questions to ask HR before you accept

1. What is the exact Basic+DA amount, in rupees, not just a percentage?
2. Is PF calculated on the statutory ₹15,000/month ceiling, or on full Basic+DA?
3. What percentage of variable pay has been paid out on average over the last year?

4. When does gratuity start accruing, and is it truly conditional on 5 years of service?
5. What does the group insurance policy actually cover?
6. What is the notice period, and is there a buyout option?

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10. Tools

Free calculators covering everything in this guide are available at **salaryexit.in** — no signup, no login, no payment. Start with the CTC-to-in-hand calculator, or use the reverse salary calculator if you're negotiating from a target take-home instead of a stated CTC.

Limitations and non-advice disclosure: This guide is educational content produced by SalaryExit India, a free salary/tax calculator site. Aniket Jadhav, the site's founder, is **not a Chartered Accountant, tax lawyer, or payroll professional**, and nothing in this guide is tax filing, legal, or professional financial advice. All figures are modeled estimates from SalaryExit's own calculation engine (FY 2026-27 tax slabs), not observed payslip data, and do not account for state-specific professional tax variation, surcharge (relevant above ₹50L), variable pay, or ESOPs. Verify your specific situation with a qualified CA, payroll professional, or your employer's HR team before making financial decisions.

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